The Sydney Morning Herald · ABS
28 Oct 2026

Inflation jumps to 4.3%, adding to the case for a Cup Day rate rise

> The ABS reported that **headline inflation rose to 4.3% in September** from 4.0% in August, driven by petrol and the cost of building homes. **Underlying inflation was 3.6%.** The RBA meets on Tuesday 3 November, and markets put the chance of a fifth rate rise this year at better than 60%.

WHAT HAPPENED

- **Headline inflation** reached 4.3% in the year to September, up from 4.0% in August. It is the highest reading since March (4.6%). **Underlying inflation** was 3.6%, a little above August's revised 3.5%.
- **Petrol** rose 9.4% in September after 14.8% in August, and is up almost 24% over the year.
- **Housing costs** rose 5.2% over the year (5.4% to August). New dwelling costs were up 4.7% as builders passed on higher construction and labour costs.
- **Holidays** are dearer, partly from oil prices and partly from the AI data centre construction boom. **Games and toys** rose 15.5% on global memory and storage costs, and **food** rose to 3.2%, led by takeaway.
- **Tradeable inflation** rose 1.2% in the month, double the 0.6% for non-tradeables. The article calls this a concern for the RBA, because it points to high oil prices.
- RBA deputy governor Andrew Hauser said the result was largely as markets expected: "These are too high." The ASX200 fell 0.4% and the Australian dollar rose.

KEY NUMBERS

4.3%
headline inflation, year to September (4.0% in August)

3.6%
underlying inflation (3.5% in August, as revised)

~24%
rise in petrol prices over the past year

>60%
market chance of a further RBA rate rise

Underlying inflation: a measure that removes the largest price swings to show the trend.
Tradeable goods: goods and services that can be traded across borders, so their prices follow world prices (fuel is an example).

BAR CHART

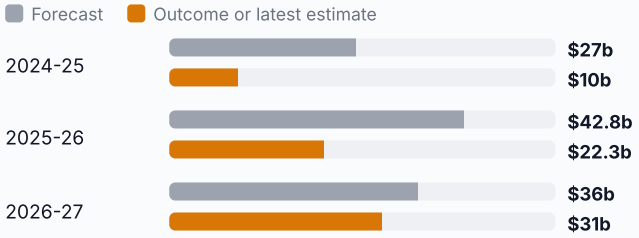
Annual inflation by city, September 2026



Annual % change. Cities shown are those named in the article. Source: ABS via SMH.

BAR CHART

Budget deficits: forecast vs outcome



Deficit, $ billion. Figures given by Treasury Secretary Jenny Wilkinson at Senate estimates; the 2024-25 forecast was the December 2024 mid-year update. Source: SMH.

FLOW CHART

From the oil price shock to the Cup Day decision



Exam angle: much of the jump is a supply shock (oil), which raises headline inflation without a rise in demand. The RBA's concern is whether it spreads, which is why underlying inflation and tradeable prices matter. Treasury's evidence also shows how to use budget data: it argued fiscal policy has not been a main driver of inflation, because deficits have come in well below forecast.

SYLLABUS LINK

Topic 3 – **Inflation**: headline and underlying measures, causes (cost-push, imported inflation) and trends. Topic 4 – **Monetary policy** and **fiscal policy**: RBA decisions, budget outcomes.

TRY THIS

Explain why the RBA might still raise the cash rate when much of the recent rise in headline inflation comes from petrol prices. **(4 marks)**

SMH (Shane Wright): https://www.smh.com.au/politics/federal/inflation-jumps-to-4-3-per-cent-fuelling-prospect-of-cup-day-rate-rise-20261028-p6196m.html
ABS CPI: https://www.abs.gov.au/statistics/economy/price-indexes-and-inflation/consumer-price-index-australia